

When I meet with those teams, there are always improvements to be made and I recommend them, but invariably the real problem is not a lack of development talent, energy, or effort. Cycle after cycle, the team is working hard, but the business is not seeing results. Managers trained in a traditional model draw the logical conclusion: our team is not working hard, not working effectively, or not working efficiently.

Thus the downward cycle begins: the product development team valiantly tries to build a product according to the specifications it is receiving from the creative or business leadership. When good results are not forthcoming, business leaders assume that any discrepancy between what was planned and what was built is the cause and try to specify the next iteration in greater detail. As the specifications get more detailed, the planning process slows down, batch size increases, and feedback is delayed. If a board of directors or CFO is involved as a stakeholder, it doesn't take long for personnel changes to follow.

A few years ago, a team that sells products to large media companies invited me to help them as a consultant because they were concerned that their engineers were not working hard enough. However, the fault was not in the engineers; it was in the process the whole company was using to make decisions. They had customers but did not know them very well. They were deluged with feature requests from customers, the internal sales team, and the business leadership. Every new insight became an emergency that had to be addressed immediately. As a result, long-term projects were hampered by constant interruptions. Even worse, the team had no clear sense of whether any of the changes they were making mattered to customers. Despite the constant tuning and tweaking, the business results were consistently mediocre.

Learning milestones prevent this negative spiral by emphasizing a more likely possibility: the company is executing—with discipline!—a plan that does not make sense. The innovation accounting framework makes it clear when the company is stuck and needs to change direction.

In the example above, early in the company's life, the product